

Investing to meet your goals

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TRANSCRIPT

SPEAKERS:

Nia—Host

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Nia: So, you want to become an investor but don't know where to start. Why even invest in the first place? What type of account should I open? How much money do I need to get started? Don't worry, we got this. Before you start investing, you might want to check off some financial to-dos first. So, I've asked Trey'Von from Fidelity Investments for his take.

Trey'Von: Thanks Nia. Before you start investing, let's make sure you're prepared for unexpected expenses. Aim to have at least \$1,000 set aside for short-term unexpected events — things like car repairs, a vet bill, or a doctor's visit. Consider working your way up to a longer-term goal of having enough saved to cover 3-6 months of essential living costs. This may help protect you if something big happens like losing your job or a career change.

You'll also want to think about paying down any high-interest debt including credit cards and personal loans. By high interest I mean if the rate is 6% or greater, pay that down first. If it's less, make the minimum payment but definitely consider investing those extra dollars. That's because at lower interest rates, there's a better chance your long-term investments will offer a greater bang for your buck vs. paying down your debt faster.

Nia: Okay, now let's dive into another important part of investing...figuring out your why. Meaning, why do you want to invest in the first place? Maybe it's for a new home, or an amazing trip to Africa, or like many people, you're saving for retirement. But if you're decades away from retirement, you may feel comfortable investing in higher-risk investments that can potentially offer more of a return because there's much more time to recover from market volatility.

If your goals are a little more short term, you might want to focus on investments that are less risky since you won't have as much time to bounce back from any dips in the market. Bottom line, your financial situation is uniquely yours so your time horizon, and risk tolerance can impact what kind of investments you consider.

Ok so then once you've found your why, it's time to figure out which type of investing account will best align with your goals. I'm going to walk you through the three most common types to help get you started, including workplace plans like 401(k)s and 403(b)s, brokerage accounts, and IRAs. Let's first dive into 401(k)s and 403(b)s. Both are designed to help you save for retirement. And many employers offer something called a match. Which means, in most cases, they'll match your contribution dollar for dollar up to a certain percentage. It's like getting extra money for your retirement savings, and who doesn't love that? And if you're looking for a little more guidance, the investment professionals at Fidelity recommend saving at least 15% of your pre-tax income in a retirement account, including any employer match. But if that sounds like a little too much right now, don't worry, try saving what feels comfortable and work your way up to that amount. 401(k)s and 403(b)s also have some tax advantages that make saving for your goals even easier.

However, there are a few considerations like only being able to take out money at a certain age and restrictions on how much you can contribute to your 401(k) or 403(b) in a given year. Next, there's a brokerage account, and what I've learned from some of the investment professionals at Fidelity is that this is intended for both short- and long-term investing goals.

A brokerage account is not necessarily intended for retirement since it doesn't offer the same tax advantages for contributions that a 401(k) or 403(b) might. It does though give you a range of investment options like stocks, ETFs, mutual funds and more, which not all 401(k)s or 403(b)s offer. It's also easier to access the money when you need it, and there are no minimums on how much you can invest.

And finally, there's an IRA, which stands for "individual retirement account." There are two main types, a traditional and a Roth IRA. These options are both intended for retirement savings but instead of getting them through your job like a 401(k) and 403(b), you can open them up yourself. And for the most part, IRAs can give you much more freedom to choose which types of investments you want in your portfolio.

One great perk of a Roth IRA is that it lets you withdraw contributions, at any time, tax- and penalty-free. But when it comes to earnings, you'll just have to leave them in there. And after checking in with a few more of the professionals at Fidelity, I've also learned that IRAs come with some restrictions including lower contribution limits versus a 401(k) or 403(b) and you'll also miss out on the potential company match.

When you do open an account and finally add money to it, it's a good idea to take that next very important step and invest that money. Because in all honesty, if that cash just sits there, those dollars are less likely to potentially grow. You may also lose purchasing power to inflation and run the risk of falling short on your goals.

Alright, that's it for now. Have a question? Drop it below in the comments or check out Fidelity on social where they discuss all sorts of topics like this and more. Till next time, investors.

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